Disability Insurance

Short- and long-term disability insurance protects your income-producing ability when you're unable to work due to illness or injury. Many employers provide group disability insurance as a benefit at little or no cost to employees. If there's a cost for the coverage, it's usually paid with pretax dollars and is much less than you'd pay for an individual policy. Be aware that many employers only provide short-term disability coverage. When you have both coverages through your employer, the policies often dovetail so that your long-term coverage would pick up as soon as your short-term coverage expires (if your disability lasts that long).

ALERT

According to the Social Security Administration, the average twenty-year-old worker has a 30 percent chance of becoming disabled before retirement. For a thirty-year-old, disability is 4.1 times more likely than death, yet many people in their twenties and thirties insure their lives but not their income-producing ability.

The Purpose of Disability Insurance

Although the likelihood of becoming disabled is greater than the likelihood of dying during any given period of time, more people buy life insurance than disability insurance. Don't make the mistake of thinking that you're too young or healthy to require disability insurance. Before purchasing an individual disability policy, be sure you understand the terms used and read the policy carefully to make sure you know what benefits you're getting. Find out what, if any, exclusions there are, what the elimination period is, what the benefit period is, and what the definition of total disability is.